

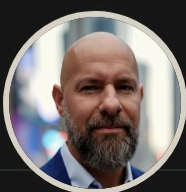
17.6%

TODAY

OF RELEVANT DEAL FLOW SEEN BY THE MEDIAN PRIVATE EQUITY FIRM

What it actually costs to run an add-on program.

Line by line — with every source's commercial interest named on the page it appears on, because most of these numbers come from somebody selling something.



Paul Baker

Buy-side corporate development

SWIPE →

THE PERSON

A dedicated BD professional runs \$150–250K in total compensation.

And about 90% of heads of business development receive carried interest on top of it, so the cash line understates the real cost of the seat by a margin that only becomes visible at exit. The compensation figures are published by an executive search firm — recruiters benefit when the numbers look robust, which is worth holding in mind before treating the top of that range as a market rate. It is still the most systematic survey of the role that gets published.

Heidrick & Struggles 2025 PE compensation survey; Capstone

THE TOOLS

The data stack routinely clears \$100K a year before the CRM.

PitchBook runs roughly \$12–40K and upward per user. Grata or Sourcescrub, another \$15–40K. Capital IQ or FactSet, \$20–100K and up. Firms stack these because no single one covers the whole market, and the overlap is the point rather than the waste — but it means the true number is additive and the subscriptions renew whether or not anybody closed anything. All of the above is vendor list pricing, all of it is negotiable, and all of it is real money leaving every year.

Vendor list pricing, 2025–26

03

THE RAMP

How long until a new BD hire's first sourced close? Nobody publishes it.

In search-fund data the first LOI lands around month seven, which is the closest available proxy and is not the same measurement. For the thing actually being budgeted — a new business-development hire to their first close that they themselves sourced — no clean published statistic exists. That gap is worth knowing by name, because anyone quoting you a confident figure for it is inferring, exactly as we would be. This is the page where the sheet says what it does not know.

Search-fund literature for the proxy; no series located for the measure

17.6%

of the relevant deal flow is seen by the median private equity firm, in its own space.

That is the coverage all of the spending above buys . The publisher is owned by With Intelligence and Bain and sells origination analytics for a living , so a large and persistent coverage gap is a finding that directly serves the firm reporting it — state that plainly and keep the number , because it is also the only longitudinal series anyone has built . What it tells you is not that the median firm is bad at its job . It is that comprehensive coverage of a fragmented market is not what a small team can buy at any price .

Sutton Place Strategies

THE MATH • ILLUSTRATIVE

Somewhere between \$60K and \$200K per sourced close.

This is arithmetic on the ranges already on this sheet, and it is not a published benchmark — nobody publishes one. Take a fully loaded function at \$250–400K all in, divide by two to four sourced closes a year, and that is the band you land in, before a single dead-deal cost is counted. Redo it with your own compensation, your own stack and your own closed count; the numbers will move and the shape will not. Anyone presenting a figure like this as an industry benchmark has quietly turned their own division into somebody else's data.

smbX arithmetic on the ranges above — illustrative, not a benchmark

06

47%

of post-LOI breaks now come from diligence findings — and each one has a bill.

Quality of earnings at lower-middle-market sizes runs \$25–50K per busted exclusivity, with legal on top of it. The break data is member-reported through a marketplace that sells access to the channel it measures, and the QoE pricing comes from the firms selling QoE, so both carry their interest. The budgeting point survives either caveat: dead deals are not an accident in this function, they are a recurring line item with a predictable frequency, and a program budgeted as though every process closes is a program budgeted wrong.

Axial Dead Deal Report, member-reported, 2025

30%

of private equity firms had no dedicated BD professional at all.

That is as of the last public count, taken in 2021 — dated, and it is the most recent figure that exists, which is itself informative about how thinly this function is studied. Below the mid-market the share is almost certainly higher, though nobody has measured it, so that sentence is an inference and is marked as one. The reason it belongs on a cost sheet: the sheet is describing a function that a large minority of firms have decided not to staff, which makes it a real allocation decision rather than a cost of doing business.

Sutton Place Strategies, 2021

WHAT THE SHEET SAYS

The function is expensive whether or not it works.

That is the honest conclusion and it is not "spend less". A seat, a stack and a ramp cost what they cost, and the coverage they buy is a minority of the market however well they are run. So the question the sheet actually poses is one of allocation: where does the next dollar of your team's finite attention produce a return — another seat at the top of the funnel, or capacity at the point where the return is captured, after the wire clears? That is a question about your own operation and nobody outside it can answer it for you.

smbX, 2026

09

FOR THE ACQUIRER

The sheet is not an argument to spend less. It is an argument to know the number.

For anyone who has built this function at a platform: what did your cost per closed add-on actually come out to? I read everything.



Paul Baker

Buy-side corporate development

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